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STRATEGY & AI INSIGHTS

THOUGHT LEADERSHIP

The Jevons Paradox and Employment

Why AI creates more work than it destroys — and what it means for business leaders today.

Manuel Benites
Managing Partner, TheMindCo
2026 · Insight backed by 2024–2025 evidence

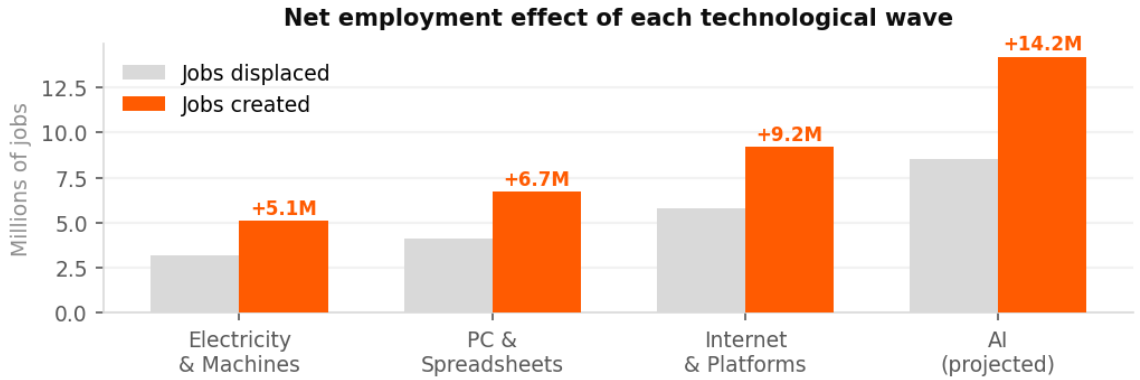
THE CONTEXT

The AI employment debate is asking the wrong question

Clients, colleagues, and partners constantly ask me the same question: **will AI replace human work?** It is a legitimate concern — but it frames the issue incorrectly. Every major technological wave in history has displaced specific jobs while simultaneously creating entirely new categories of demand for human effort.

We are not entering an unprecedented era of displacement. We are entering a familiar pattern, playing out at a faster pace and broader scope than before. The question worth asking is not whether AI will take jobs. It is: *which capabilities, roles, and business models will capture the new work that AI-driven efficiency will release?*

EACH TECHNOLOGICAL WAVE: THE HISTORICAL RECORD



Source: McKinsey Global Institute; World Economic Forum Future of Jobs Report 2025. Illustrative magnitudes.

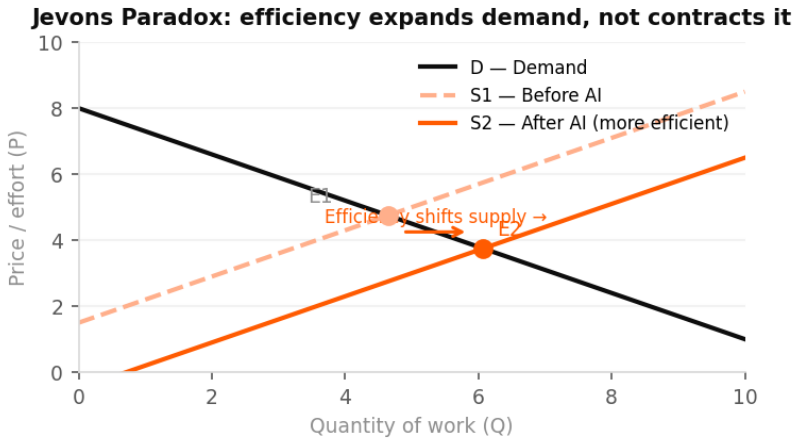
> **"The question is not whether AI will take jobs.**
> **It is what new work will efficiency release — and who will capture it."**
>
> Manuel Benites, Managing Partner, TheMindCo

THE CORE CONCEPT

The Jevons Paradox: efficiency multiplies demand

In 1865, British economist William Stanley Jevons made a counterintuitive observation: as steam engines became more efficient, coal consumption *increased* rather than decreased. More efficient technology lowered the cost per unit of output — which expanded demand far beyond what the efficiency gain saved.

The same mechanism operates in labor markets. When AI makes a task cheaper or faster, it does not simply reduce the need for that task. It lowers the barrier to doing more of it, opens new adjacent demand, and creates new roles to design, validate, integrate, and operate the new system.



Source: Illustrative model based on Jevons (1865) and labor economics literature. S2 reflects post-AI efficiency gain.

WHAT JEVONS OBSERVED

More efficient machines → lower cost per unit → higher total consumption → more workers needed, not fewer.

WHAT THIS MEANS FOR AI

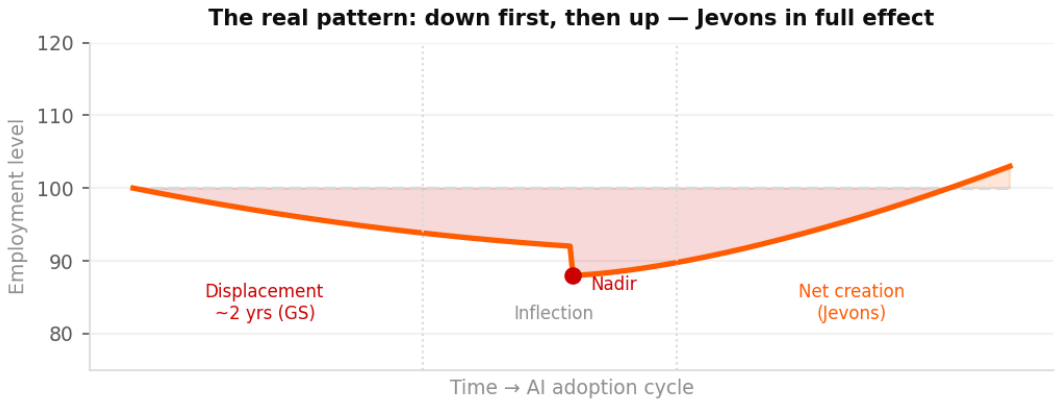
More capable AI → lower cost per task → expanded demand for decisions, validation, and new use cases → new human roles.

THE REAL PATTERN

Down first. Then up.

The Jevons effect does not happen instantly. Each technological wave follows a predictable arc: an initial displacement phase where specific roles are eliminated faster than new ones emerge, followed by an inflection point, followed by a net creation phase where the efficiency-driven expansion of demand outpaces the original displacement.

Goldman Sachs research on prior automation cycles suggests the displacement phase typically lasts 18–24 months before the net job creation phase begins. Understanding which phase you are in matters as much as understanding the long-run direction.



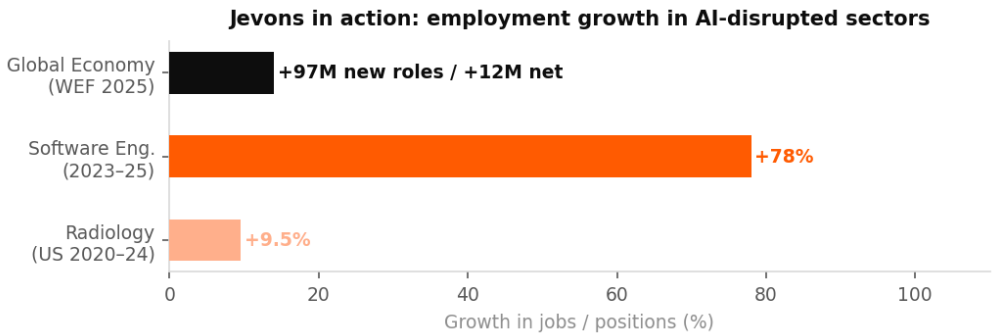
Source: Goldman Sachs Global Investment Research, "The Potentially Large Effects of AI on Economic Growth" (2023); TMC synthesis.

"The relevant business question is not the long-run direction — it is what you build during the displacement phase to capture the creation phase when it arrives."

EVIDENCE TODAY

Jevons in action: three real sectors

The pattern is not theoretical. It is already observable in sectors that experienced the first waves of AI-driven transformation.



Sources: BLS Occupational Employment Statistics (2024); Stack Overflow Developer Survey (2025); WEF Future of Jobs Report (2025).

RADIOLOGY

+9.5%

US radiologist positions grew 2020–2024, despite AI reading more images. AI expanded throughput; physicians validate more scans.

SOFTWARE ENGINEERING

+78%

Open engineering positions vs recent lows. AI coding tools (Copilot, Cursor, Claude Code) used by 84% of devs yet demand for engineers surged.

GLOBAL ECONOMY

97M

New roles emerging in parallel with 85M displaced (WEF). Net creation of +12M jobs globally — Jevons operating at macro scale.

STRATEGIC IMPLICATIONS

What business leaders should do differently

If the Jevons pattern holds — and the evidence strongly suggests it will — the strategic imperative for organizations is not to minimize AI adoption to protect headcount. It is to actively position for the creation phase by building the capabilities, roles, and operating models that the expansion of AI-driven demand will require.

STOP ASKING "WILL AI TAKE JOBS?"

Start asking which new roles will emerge in design, validation, integration, governance, and human-AI collaboration — and build toward them.

INVEST DURING THE DISPLACEMENT PHASE

The organizations that build AI-adjacent capabilities during the displacement dip will be best positioned to capture the Jevons creation surge.

IDENTIFY YOUR ELASTICITY

Not every sector rebounds equally. Identify where AI-driven efficiency creates adjacent demand in your specific market — before competitors do.

REDESIGN FOR AMPLIFICATION

Redesign roles for human-AI complementarity. The most valuable employees will be those who amplify AI outputs, not those who compete with AI inputs.

> **"Efficiency does not reduce human work.**
> **It reinvents and expands it."**

FINAL THOUGHTS

The question was never whether. It was always how fast — and who would be ready.

Every major technology in history has been met with legitimate anxiety about what it would do to human work. Every time, the long-run answer has been net expansion — but only for those who adapted their capabilities, business models, and organizational structures to the new paradigm fast enough to benefit from the Jevons rebound.

AI is not different. The organizations that will thrive are not those that resist the wave, but those that build the capacity to surf it — capturing the expanded demand that efficiency always, eventually, creates.

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ABOUT THEMINDCO

We thrive in industries where people meet science.

Founded in 2006 by McKinsey and Booz Allen alumni, TheMindCo is a strategy and innovation agency dedicated to supporting growth, delivering original insights, and tackling complex strategic issues for leading organizations in Life Sciences and Consumer Goods.

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600+
Projects delivered

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Manuel is a strategist and entrepreneur with over 20 years of experience in Life Sciences commercialization, healthcare market access, and business strategy. He founded TheMindCo in 2006, building it into a leading strategy and innovation firm serving global pharmaceutical and consumer goods companies.

His consulting work spans commercial strategy, product launches, market access, and competitive intelligence for global pharmaceutical companies including Takeda, Sanofi, AstraZeneca, Bayer, and Boehringer Ingelheim. Over the past several years, Manuel has led TheMindCo's practice in AI strategy and analytics, helping clients navigate the practical and organizational implications of AI adoption.

This perspective draws on two decades of pattern recognition across industry transformation cycles, combined with front-row observation of how AI is reshaping the strategic and operational landscape for leading organizations in Life Sciences and Consumer Goods.

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